

Payroll Policy

Compensation Structure, Pay Schedule & Deductions Guidelines

Department: Finance & Human Resources

Effective Date: January 1, 2025

Version: v2.0

Approved By: Chief Financial Officer & CHRO

Classification: Internal - Confidential

1. Purpose & Scope

This policy governs payroll processes at TechCorp Enterprises, ensuring employees are compensated accurately and on time. It covers all full-time, part-time, and contractual employees.

2. Pay Schedule

Pay Element	Details
Pay Frequency	Monthly
Pay Date	Last working day of each month
Payment Method	Direct bank transfer (NEFT/IMPS)
Payslip Availability	HRMS portal by 25th of each month
Salary Revision Cycle	Annual (April) or on promotion

3. Compensation Structure

Component	Percentage of CTC
Basic Salary	40%
House Rent Allowance (HRA)	20%
Special Allowance	20%
Performance Bonus	10%
Provident Fund Contribution	5%
Medical Allowance	3%
Other Benefits	2%

4. Statutory Deductions

- Provident Fund (PF): 12% of Basic Salary as employee contribution.
- Professional Tax (PT): As per state government regulations.
- Income Tax (TDS): Deducted monthly based on applicable tax slabs.
- ESI: Applicable for salaries up to INR 21,000 per month.

5. Loss of Pay (LOP)

Salary is deducted for unapproved leave, late joining, or suspension periods.

LOP calculation: (Monthly Gross Salary divided by Working Days in Month) multiplied by LOP Days.

6. Salary Increments

- Annual increments are effective from April 1 each year.
- Increment percentage is linked to the annual performance rating.

Performance Rating	Increment Range
Outstanding (5)	15% to 25%
Exceeds Expectations (4)	10% to 15%
Meets Expectations (3)	5% to 10%
Needs Improvement (2)	0% to 5%
Unsatisfactory (1)	No increment

7. Full & Final Settlement

Upon resignation or termination, F&F settlement is processed within 45 working days, including salary up to last working day, encashment of unused annual leave, and recovery of any outstanding advances.